DFW Retail

Q1 2025

QUARTERLY MARKET REPORT

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Dallas-Fort Worth Retail | Q1 2025

DFW Retail Market Maintains Experiences Negative Net Absorption for the First Time Since 2020

Executive Summary

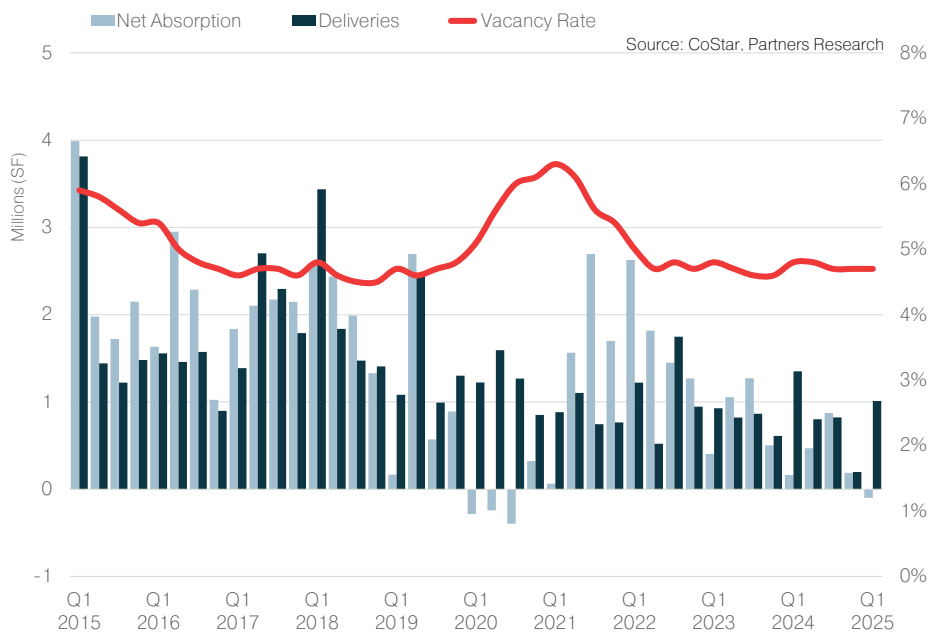
The Dallas-Fort Worth (DFW) retail market experienced a shift in vacancy and net absorption during Q1 2025, with a 20 basis point increase in vacancy to 4.9% (still low compared to historical years) and absorption turning negative. Net absorption for the quarter was negative for the first time since 2020, posting -98,629 sq. ft., reflecting less tenant movement and increased construction deliveries in Q1 2025. Submarkets with the highest contribution to negative absorption include Far North Dallas, Mid-Cities and Central Fort Worth. Although absorption turned negative, leasing activity remained robust at 2.0 million square feet, up 9.7% from the previous quarter.

While construction deliveries increased significantly in Q1, totaling 1.0 million sq. ft., the under-construction pipeline fell 7.0% to 4.5 million sq. ft. Most of the construction underway is concentrated in the northern suburbs to align with housing growth. Average asking rates rose 2.0% quarter-over-quarter and 3.4% year-over-year to $20.49 per sq. ft. Central Dallas and North Central Dallas continue to command premium rents, while Southeast and Southwest Dallas offer more affordable options. Overall, the DFW retail market exhibits a healthy balance of demand, investment, and growth opportunities given its strong market fundamentals.

Q1 2025 in Review

Employment in DFW rose in December after contracting in November. Job growth grew at an annualized rate of 3.5%. Dallas employment grew at 4.4% in December, while Fort Worth grew at a slower pace of 1.5%. The largest gains were in financial activities and leisure and hospitality, while employment slipped in education and health services, construction and mining as well as other services. The unemployment rate in DFW fell to 3.9% in December.

Supply & Demand



Key Market Indicators

	CURRENT Q1 2025	PRIOR QUARTER Q4 2024		PRIOR YEAR Q1 2024	
Vacancy (%)	4.9%	4.7%	▲	4.7%	▲
Vacancy Direct (%)	4.8%	4.6%	▲	4.7%	▲
Availability (%)	5.3%	5.0%	▲	5.1%	▲
Availability Direct (%)	5.2%	4.9%	▲	5.1%	▲
Net Absorption (SF)	-98,629	187,031	▼	162,727	▼
Leasing Activity (SF)	2,037,509	1,857,442	▲	2,520,791	▼
Deliveries (SF)	1,009,760	197,767	▲	1,351,391	▼
Construction (SF)	4,469,679	4,805,034	▼	4,563,784	▼
Inventory (SF)	429,758,575	428,828,186	▲	426,540,248	▲
Avg Asking NNN Rent ($)	20.49	20.08	▲	19.82	▲

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Market Overview

Vacancy Ticks Up Slightly to 4.9%

The overall vacancy rate in the DFW retail market rose 20 basis points over the quarter and over the year from 4.7% to 4.9%. This small increase is most likely due to elevated quarterly deliveries that are not fully pre-leased. Vacancy is still low compared to historical highs of 9.0% to 10.0% in 2009 through 2013.

Net Absorption Turns Negative, First Time in Five Years

Net absorption-move-ins minus move-outs—is at -98,629 sq. ft., this is down significantly from recent quarters, but in line with new construction deliveries and big box store closures. Far North Dallas, Mid-Cities and Central Fort Worth were the submarkets posting the largest amount of negative net absorption of -279,857 sq. ft., -149,967 sq. ft. and -69,637 sq. ft., respectively. Some of the notable store closures include JOANN, Party City and Big Lots. On a positive note, North Central Dallas posted the largest amount of positive net absorption, 296,390 sq. ft. One of the more significant move-ins was the new Costco located at 5620 W University Dr.

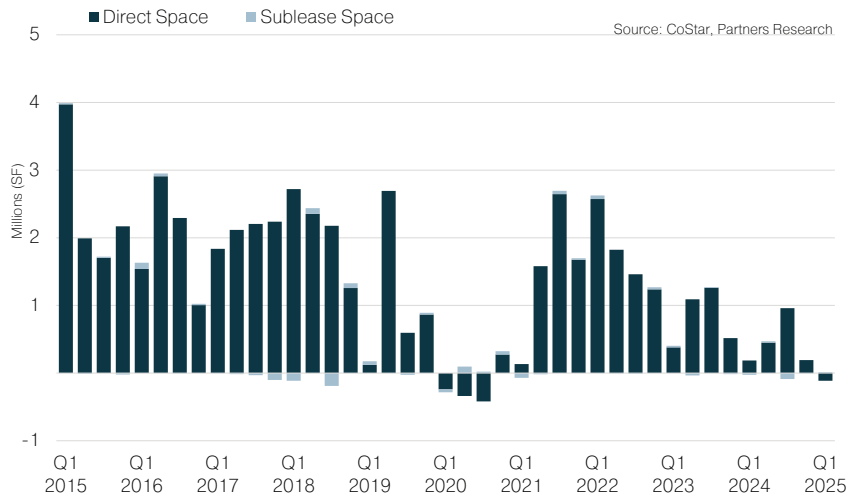
Leasing Activity Remains High, but down 19.2% From Last Year

Leasing activity increased in Q1 2025, coming in at 2.0 million sq. ft., up 9.7% from the previous quarter and down 19.2% from Q1 2024. Some of the more notable transactions in Q1 2025 include Picklr (pickleball venue) signing a lease for 80,800 sq. ft. on S Cooper St. in the South Arlington submarket, Look Theaters' lease for 48,914 sq. ft. at the Shops at Central Park in Bedford and Crunch Fitness's 35,000 sq. ft. lease at 5336 Golden Triangle in the Northwest Fort Worth submarket.

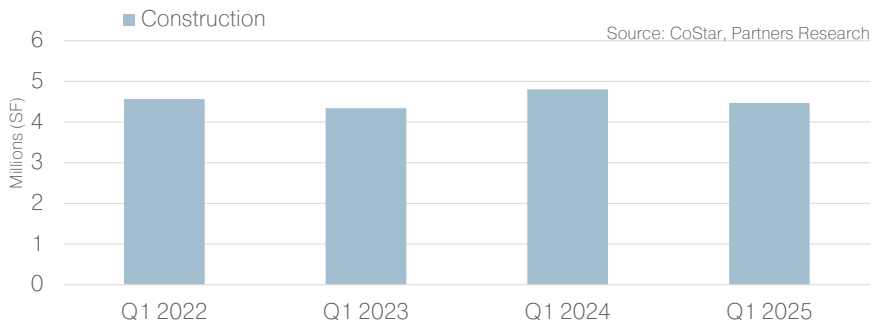
Increased Construction Deliveries Muted Absorption, but Construction Pipeline Stable

Construction deliveries were up sharply over the past quarter, increasing by 410% from 197,767 sq. ft. in Q4 2024 to 1,009,760 sq. ft. completed in Q1 2025. In contrast, deliveries are still down by 25.3% over the year. The under-construction pipeline, however, fell modestly to 4.5 million sq. ft., down 7% from last quarter and 2.1% year over year. Far North Dallas, North Central Dallas and the Suburban Fort Worth submarkets have the highest levels of construction currently under way, with 1,467,839 sq. ft., 813,197 sq. ft. and sq. ft. 535,719 sq. ft., respectively. These largest shopping centers concentrated mostly in the northern suburbs, following the recent delivery of several thousand residential homes.

Net Absorption



Construction



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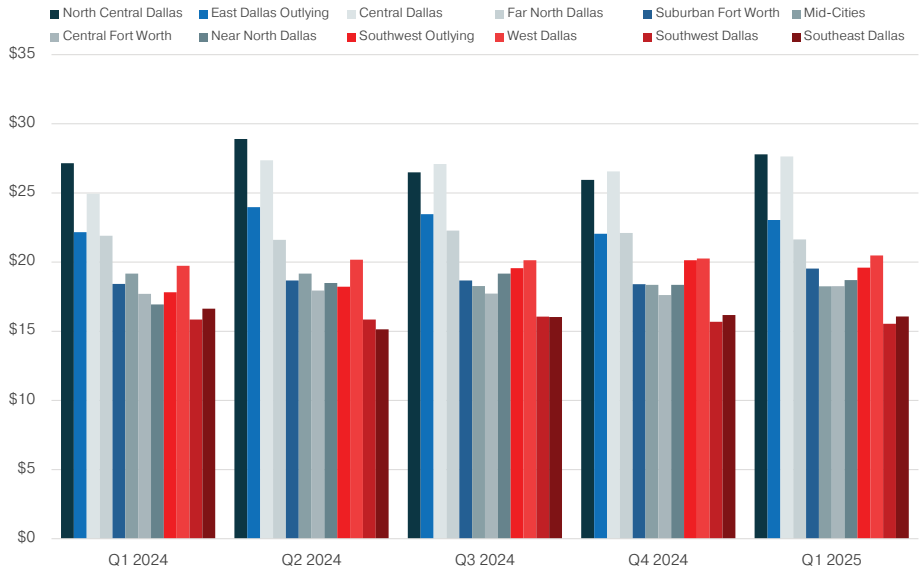
Investment Sales Trends Remain Robust

CoStar Capital Market Analytics reports the cumulative 12-month sales volume at $436 million in the DFW retail market. With 749 deals completed, the average transaction price currently stands at $209 per sq. ft. with an average cap rate of 6.7%. Notable sale transactions in early 2025 include the sale of the 62,463 sq. ft. Plaza Point Shopping Center in the Northwest Fort Worth submarket for an undisclosed price. The center was listed at $6.8 million or $109 per sq. ft. In addition, SP Venture Capital purchased The Crossroads at Terrell, located in the East Dallas Outlying submarket, from Oakridge Investments, Inc. for an undisclosed price. This was a two-property portfolio sale totaling 112,886 sq.ft. anchored by Ross, Five Below, Marshall's, ULTA Beauty and Petco.

Rental Rates Up Slightly for the Quarter and Over the Year

Average asking rental rates increased 2.0% quarter-over-quarter and 3.4% year-over-year to $20.49 per sq. ft. The submarkets with the highest rental rates include North Central Dallas ($27.79 per sq. ft.), Central Dallas ($27.64 per sq. ft.) and East Dallas Outlying ($23.04 per sq. ft.) which are well above the metro average. On the other hand, submarkets with lower asking rents included Southwest Dallas ($15.54 per sq. ft.) and Southeast Dallas ($16.07 per sq. ft.).

Average Asking Rent (NNN)



Market Overview
Submarket Stats

Submarket	Net Rentable Area	Vacancy	Q4 2024 Net Absorption	YTD Net Absorption	Q4 2024 Leasing Activity	Q4 2024 Deliveries	YTD Deliveries	Under Construction	Total Avg Asking Rent NNN
	(SF)	(%)	(SF)	(SF)	(SF)	(SF)	(SF)	(SF)	($/PSF)
Central Dallas	19,085,700	4.8%	3,052	3,052	49,034	5,857	5,857	0	27.64
Central Fort Worth	33,366,989	6.4%	-69,637	-69,637	59,555	0	0	217,570	18.26
East Dallas Outlying	9,545,410	3.1%	-43,782	-43,782	37,932	10,353	10,353	359,648	23.04
Far North Dallas	77,258,669	5.2%	-279,857	-279,857	331,679	124,863	124,863	1,467,839	21.64
Mid-Cities	68,568,668	5.5%	-149,967	-149,967	515,894	73,927	73,927	321,503	18.25
Near North Dallas	25,716,450	4.8%	-38,716	-38,716	53,578	0	0	10,000	18.70
North Central Dallas	49,852,100	4.7%	296,390	296,390	151,859	379,243	379,243	813,187	27.79
Southeast Dallas	19,277,906	4.9%	31,416	31,416	99,905	60,000	60,000	154,856	16.07
Southwest Dallas	23,962,290	6.0%	-13,232	-13,232	134,149	0	0	158,600	15.54
Southwest Outlying	18,047,039	2.9%	58,170	58,170	59,128	39,270	39,270	334,189	19.60
Suburban Fort Worth	42,918,809	4.1%	66,897	66,897	369,670	304,632	304,632	535,719	19.53
West Dallas	42,158,545	4.0%	40,637	40,637	175,126	11,615	11,615	96,568	20.48
DFW Total	429,758,575	4.9%	-98,629	-98,629	2,037,509	1,009,760	1,009,760	4,469,679	20.49

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